

Submission ACCT1-MID-SUB01

Question ACCT1-MID-Q01

scratch: show step

1. Dr Cash 737; Cr Service Revenue 737
2. Dr Supplies 216; Cr Accounts Payable 216
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
=> FINAL: Dr Cash 737/Cr Revenue 737; Dr Supplies 216/Cr A/P 216; A=L+E remains balanced (check units/interpretation)

Question ACCT1-MID-Q02

scratch: show step

1. Monthly revenue=1108/12=92
2. Dr Unearned Revenue 92; Cr Service Revenue 92
3. Remaining liability=1016
=> FINAL: Dr Unearned Revenue 92; Cr Revenue 92; liability=1016 (check units/interpretation)

Question ACCT1-MID-Q03

scratch: show step

1. Assets = Liabilities + Equity
2. Equity=2545-401=2144
3. The equation must balance after every recorded transaction.
=> FINAL: equity=\$2144; assets=liabilities+equity (check units/interpretation)

Question ACCT1-MID-Q04

scratch: show step

1. Current ratio=1018/931=1.09
2. Above 1 means current assets exceed current liabilities, not that all assets are cash.
=> FINAL: current ratio=1.09; assets exceed liabilities if ratio>1 (check units/interpretation)

Question ACCT1-MID-Q05

scratch: show step

1. Cash receipt before performance does not by itself create earned revenue.
2. Record contract liability/unearned revenue, then recognize revenue as the performance obligation is satisfied.
=> FINAL: record unearned revenue first; recognize revenue as performance occurs (check units/interpretation)

Question ACCT1-MID-Q06

scratch: show step

1. Dr Cash 364; Cr Service Revenue 364
2. Dr Supplies 550; Cr Accounts Payable 550
3. Assets increase by cash+supplies; liabilities increase by payable; equity increases by revenue.
=> FINAL: Dr Cash 364/Cr Revenue 364; Dr Supplies 550/Cr A/P 550; A=L+E remains balanced (check units/interpretation)

Question ACCT1-MID-Q07

scratch: show step

1. $\text{Monthly revenue} = 1266 / 6 = 211$

2. Dr Unearned Revenue 211; Cr Service Revenue 211

3. $\text{Remaining liability} = 1055$

=> FINAL: Dr Unearned Revenue 211; Cr Revenue 211; liability=1055 (check units/interpretation)

Question ACCT1-MID-Q08

scratch: show step

1. $\text{Assets} = \text{Liabilities} + \text{Equity}$

2. $\text{Equity} = 1699 - 464 = 1235$

3. The equation must balance after every recorded transaction.

=> FINAL: equity=\$1235; assets=liabilities+equity (check units/interpretation)